Section No:

ID: _____

Name: _____

AOU
الجامعة العربية المفتوحة
Arab Open University

Faculty of Business Studies

ECO102

Principles of Macroeconomics

Mid-Term Assessment (MTA) – Form A

Spring 2024- 2025
22-April-2025

Number of Exam Pages: 4 (including this cover sheet)	**Time Allowed: 1.5 hours**

PLEASE READ THE FOLLOWING INSTRUCTIONS

1- Take **FIVE (5)** minutes to read all instructions carefully before attempting to write.
2- Mobile phones must be in "SWITCHED **OFF**" mode throughout the examination.
3- This is a **CLOSED** book examination. NO documents of any kind are allowed.
4- **YOU HAVE TO ANSWER ALL THE QUESTIONS.**
5- Do **NOT** write your answers in pencil except graphs/sketches.
6- Students are **NOT** allowed to use any type of dictionary or mobile phones during the examination.
7- Simple calculators are allowed (if needed).
8- Any form of cheating will **NOT** be tolerated and will subject you to AOU Cheating Policy.

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Question No.	Mark	Marker's Signature
Q1		
Q2		
Q3		

Final Mark: ____ 30	Signature for Total Mark:

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Question One (9 points)

Select the correct answer and **write it** in the space provided. (1.5 points for each question).

Q1	
1.	1) Economics is best defined as the study of how people, businesses, governments, and societies A) choose abundance over scarcity. B) make choices to cope with scarcity. C) use their infinite resources. D) attain wealth.
2.	2) Positive economic statements A) prescribe what should be. B) are related only to microeconomics. C) can be tested against the facts. D) cannot be tested against the facts.
3.	3) The word "final" in the definition of GDP refers to A) not counting intermediate goods or services. B) the time period when production took place. C) valuing production at market prices. D) counting the intermediate goods and services used to produce GDP.
4.	4) The circular flow model shows that consumer goods and services produced by business firms are sold in the A) goods market. B) factor market. C) labor market. D) financial market.
5.	5) The circular flow diagram shows that A) the flow of payments to the factors used to produce goods and services exceeds the flow of payments for final goods and services. B) goods and factor markets are independent. C) the total amount of income generated by the economy equals the total purchases of final goods and services. D) consumption expenditure equals saving.
6.	6) The employment-to-population ratio is defined as A) total employment divided by labor hours then multiplied by 100. B) the labor force divided by the working-age population then multiplied by 100. C) total employment divided by the labor force then multiplied by 100. D) total employment divided by the working-age population then multiplied by 100.

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QUESTION 2: (9 MARKS)

A) Define the unemployment rate and provide the formula for calculating it. (4 points)

B) Using the given data below, calculate the unemployment rate: (2 points)

- The total labor force is **180 million.**
- The number of unemployed people is **12 million.**

C) What are the three main types of unemployment? (3 points)

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QUESTION 3: (12 MARKS)

A. Explain the concept of Gross Domestic Product (GDP), what are its four key components. (4 points)

B. If consumption (C) is $5 trillion, investment (I) is $2 trillion, government expenditure (G) is $3 trillion, and net exports (X - M) is -$1 trillion, calculate GDP. (4 points)

C. Explain the difference between nominal GDP and real GDP. (4 points)

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END OF THE EXAM

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